
MÉXICO-INDIA

B U S I N E S S C O U N C I L

BRIDGING TWO EMERGING GIANTS

INDIA-MEXICO BUSINESS E-BULLETIN: MARCH, 2026

A MONTHLY INSIGHT INTO BILATERAL TRADE AND INVESTMENT
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EXECUTIVE SUMMARY

& KEY TAKEAWAYS

The India-Mexico economic relationship enters at a critical juncture, marked by both significant challenges and burgeoning opportunities. The primary development is Mexico’s implementation of steep Most Favored Nation (MFN) tariffs, effective January 1, 2026, which will impact an estimated 75 % of India’s exports to Mexico [1]. This policy shift necessitates a strategic re-evaluation for Indian exporters, particularly in the automotive sector

However, the long-term outlook remains positive, driven by Mexico’s strategic importance as a nearshoring hub for the North American market and the deepening collaboration in the service sector. Bilateral trade continues to diversify, with pharmaceuticals, specialty chemicals, and IT services showing robust growth. India is actively pursuing a Free Trade Agreement (FTA) with Mexico to mitigate the tariff impact and solidify a long-term strategic partnership.

KEY TAKEAWAYS

Area	Status & Outlook	Strategic Implication
Trade Policy	New MFN tariffs (up to 50%) implemented by Mexico.	Urgent need for FTA negotiations to secure preferential access.
Opportunities	Nearshoring to Mexico for USMCA market access is accelerating.	Indian firms should invest in Mexican manufacturing bases to bypass tariffs.
Exports	Automotive exports face significant headwinds; Pharma remains strong.	Focus on high-value, low-tariff products and local assembly.
Services	IT, Fintech, and Pharma R&D collaboration is expanding rapidly.	High-growth area projected to surpass \$1 billion in combined revenue by 2027 [4].

TRADE POLICY & OPPORTUNITIES: NAVIGATING THE NEW TARIFF LANDSCAPE

The January 2026 Tariff Challenge

Effective January 1, 2026, Mexico introduced temporary tariff increases on selected imports from non-FTA partners, including India. Duties in some product categories can reach up to 50%, particularly affecting sectors such as automotive components, textiles, and certain industrial goods [1][2]. The policy aims to protect domestic industries while encouraging greater local manufacturing and supply-chain investment within Mexico.

The impact is particularly severe for India's automotive exports, with an estimated around \$1 billion worth of car exports facing a duty increase from 20% to 50% [3]. In response, the Indian government is actively engaging with Mexico to expedite discussions on a Free Trade Agreement (FTA). An FTA is viewed as the most effective long-term solution to restore competitive access for Indian goods and stabilize the bilateral trade environment [2].

Nearshoring: The Strategic Opportunity

Despite the tariff challenge, Mexico's role as a nearshoring destination for Indian companies seeking access to the U.S. market is accelerating. Indian firms are increasingly looking to establish manufacturing and supply chain operations within Mexico to leverage the benefits of the USMCA (United States-Mexico-Canada Agreement) and bypass the new MFN tariffs.

Key investment zones attracting Indian capital include the Bajío region (Guanajuato, Querétaro) and Nuevo León, which offer robust infrastructure and strategic proximity to the U.S. border [4].

"Indian companies are leveraging Mexico's investment incentives, such as tax breaks and streamlined regulatory procedures, to strategically position themselves closer to North American consumers, offsetting rising costs in other regions." [4]

The third India-Mexico Business Summit, held in Guadalajara in January 2026, reinforced this trend, setting targets for a 25% increase in bilateral trade through joint ventures and technology collaborations [4].

BILATERAL TRADE

SNAPSHOT:

EXPORTS AND IMPORTS

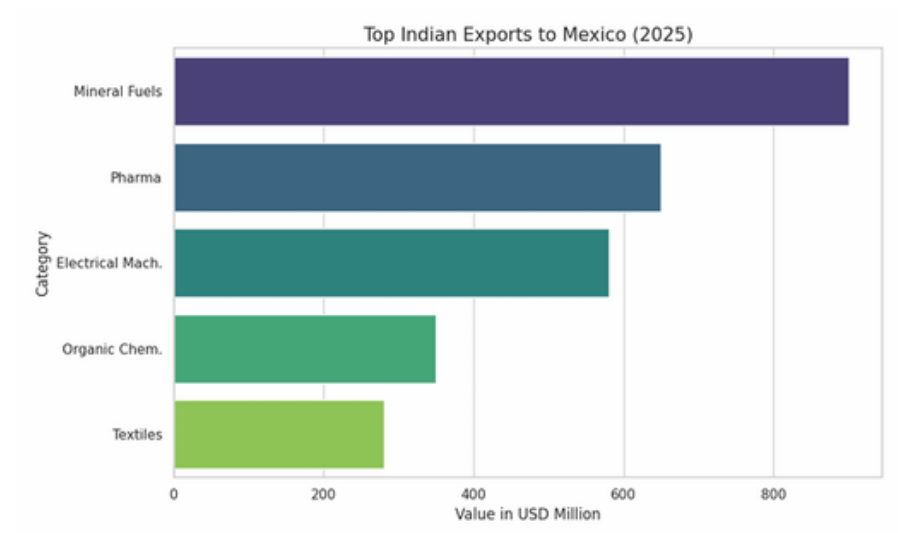
The bilateral merchandise trade between India and Mexico has shown a consistent upward trajectory, growing at a Compound Annual Growth Rate (CAGR) of 6% from FY2016 to FY2025 [5]. The trade structure remains complementary, with India primarily exporting finished goods and Mexico supplying industrial machinery and energy products.

India's Exports to Mexico (2025 Data)

India's exports to Mexico were valued at approximately USD 3.7 billion in 2025 [6]. The top five export categories highlight India's strengths in pharmaceuticals and chemicals, which are less affected by the new tariffs than the automotive sector.

HS Code Category	Value (USD Million)	Key Products
Mineral Fuels and Oils (HS 27)	900	Petroleum products, refined fuels
Pharmaceutical Products (HS 30)	650	Generic medicines, APIs
Electrical Machinery (HS 85)	580	Telecom apparatus, electronic components
Organic Chemicals (HS 29)	350	Dyes, intermediates
Textiles (HS 61 & 62)	280	High-value fabrics, technical textiles

Figure 1 : Top Indian Exports to Mexico (2025)

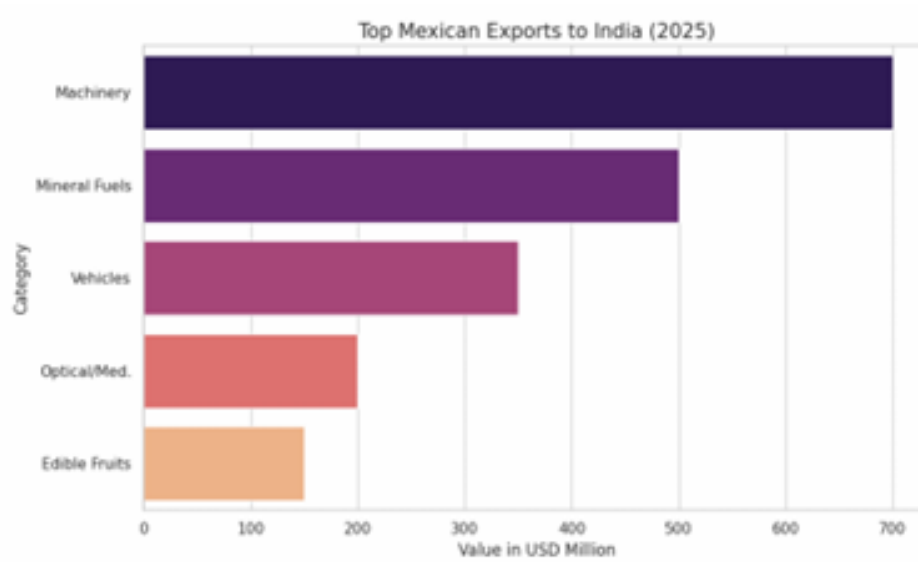


Mexico’s Exports to India (2025 Data)

Mexico’s exports to India reached an estimated USD 2.1 billion in 2025, dominated by industrial goods and energy [6]. India remains a major importer of Mexican crude oil.

HS Code Category	Value (USD Million)	Key Products
Machinery and Appliances (HS 84)	700	Industrial machinery, mechanical parts
Mineral Fuels and Oils (HS 27)	500	Crude oil, related products
Vehicles (HS 87)	350	Automotive components, finished vehicles
Optical/Medical Instruments (HS 90)	200	Diagnostic equipment
Edible Fruits and Nuts (HS 08)	150	Avocados, berries

Figure 2 : Top Mexican Exports to India (2025)



HIGH-POTENTIAL PRODUCTS AND SERVICE SECTOR COLLABORATION

Products with High Export Potential to Mexico

Despite the new tariff regime, five product categories from India demonstrate strong potential for growth in the Mexican market, primarily due to high Mexican import demand and relatively favorable tariff treatment [7]:

1. **Pharmaceutical Products (Generic Medicines & APIs):** Mexico's growing healthcare needs and national prioritization of affordable drugs ensure that Indian generics face low tariffs (0-5%). This sector is primed for expansion.
2. **Organic and Specialty Chemicals:** Used extensively in Mexico's manufacturing and agriculture sectors, these products face moderate tariffs (5-8%) and benefit from India's cost-effective production.
3. **Technical Textiles:** High-value fabrics used in the automotive and industrial sectors, which can be integrated into Mexican manufacturing supply chains, maintaining competitive access.
4. **Electronic Components and Parts:** Mexico's expanding electronics manufacturing requires components like capacitors and integrated circuits, which often face tariffs between 0-7% under existing trade provisions.
5. **Agricultural Products (Spices & Processed Foods):** Indian spices and processed foods benefit from niche market appeal and tariffs generally below 10%, supported by growing consumer interest in diverse cuisines.

India-Mexico Service Business Opportunities

The service sector is a key driver of bilateral growth, with collaboration intensifying across technology and healthcare [8].

1. IT Services and Digital Transformation

Bilateral IT exports from India to Mexico grew by approximately 18% in 2025, reaching an estimated \$450 million [8]. Mexican firms are increasingly partnering with Indian IT providers for cloud computing, AI-driven analytics, and cybersecurity solutions, particularly in Guadalajara and Mexico City.

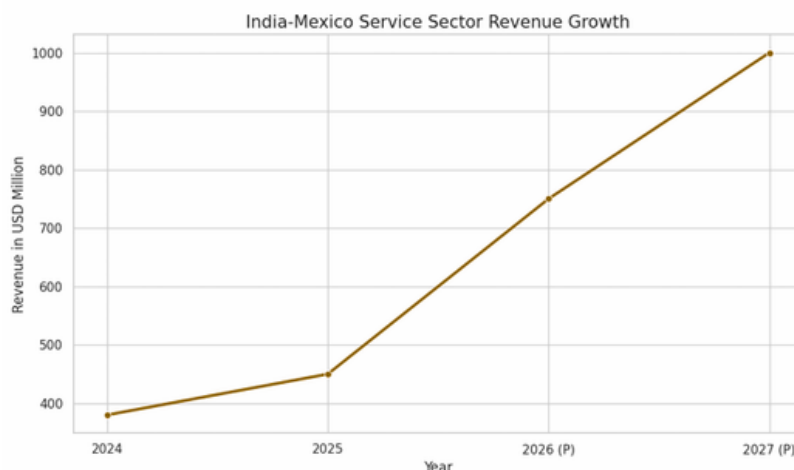
2. Fintech and Financial Inclusion

Mexico's digital payments landscape is growing at 40% annually [8]. Indian fintech companies specializing in blockchain and digital lending are collaborating with Mexican institutions to target the unbanked population, with a goal to onboard 15 million new users by 2027.

3. Pharmaceutical R&D and Healthcare

Joint India-Mexico pharmaceutical research projects, focused on developing affordable generic medicines and biosimilars, attracted over \$120 million in investment in 2025 [8]. Furthermore, Indian-designed telemedicine and AI diagnostics are being deployed in Mexican rural areas, improving patient access.

Figure 3 : India-Mexico Service Sector Revenue Growth



MARKET ENTRY, LOGISTICS, AND OUTLOOK

Practical Guide to Market Entry

For Indian businesses planning to enter the Mexican market, attention to logistics and cultural competence is paramount [9].

Logistics and Supply Chain

The primary sea freight route from India (Mumbai/Chennai) to Mexico (Veracruz/Manzanillo) averages 25–30 days transit time. Recent infrastructure upgrades at Manzanillo Port have increased capacity by 18% [9]. Air freight is preferred for high-value goods, with a 12% year-over-year growth between Mumbai and Mexico City. Streamlined customs procedures have reduced average clearance time by 20% [9].

Business Culture and Engagement

Mexican business culture emphasizes personal trust and relationship-building. Indian entrepreneurs should note that:

- Meetings often begin with social small talk; diving straight into business is discouraged.
- Decision-making is often hierarchical, requiring engagement with senior executives.
- Hiring a bilingual (Spanish/English) liaison is highly recommended to bridge communication gaps.

Establishing a Company

The most common legal structures for foreign investors are the Sociedad Anónima (S.A.) and Sociedad de Responsabilidad Limitada (S. de R.L.). Registration with the Public Registry of Commerce and obtaining a Federal Taxpayer Registry (RFC) can typically be completed within 30 days. Employing local legal counsel is essential for navigating Mexico's Federal Labor Law and tax obligations [9].

January 2026 Outlook

The start of 2026 presents a dual reality for India-Mexico trade. The new tariffs pose an immediate threat to traditional export sectors, demanding a swift and strategic response, primarily through the pursuit of an FTA. Simultaneously, the opportunities in nearshoring, high-potential products (Pharma, Chemicals), and the rapidly expanding service sector offer compelling avenues for growth. Indian businesses that adapt quickly by investing in local Mexican presence and focusing on service-based collaboration are best positioned to thrive in this evolving bilateral relationship.

References

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